TWO

A BIZARRE ACCOUNTING METHOD

On alternative histories, a probabilistic view of the world, intellectual fraud, and the randomness wisdom of a Frenchman with steady bathing habits. How journalists are bred to not understand random series of events. Beware borrowed wisdom: how almost all great ideas concerning random outcomes are against conventional sapience. On the difference between correctness and intelligibility.

Alternative History

I start with the platitude that one cannot judge a performance in any given field (war, politics, medicine, investments) by the results, but by the costs of the alternative (i.e. if history played out in a different way). Such substitute courses of events are called *alternative histories*. Clearly, the quality of a decision cannot be solely judged based on its outcome, but such a point seems to be voiced only by people who fail (those who succeed attribute their success to the quality of their decision). Such opinion is what politicians on their way out of office keep telling those members of the press who still listen to them that they followed the best

course – eliciting the customary commiserating "yes, we know" that makes the sting even worse. And like many platitudes, this one, while being too obvious, is not easy to carry out in practice.

RUSSIAN ROULETTE

One can illustrate the strange concept of alternative histories as follows. Imagine an eccentric (and bored) tycoon offering you $10 million to play Russian roulette, i.e. to put a revolver containing one bullet in the six available chambers to your head and pull the trigger. Each realization would count as one history, for a total of six possible histories of equal probabilities. Five out of these six histories would lead to enrichment; one would lead to a statistic, that is, an obituary with an embarrassing (but certainly original) cause of death. The problem is that only one of the histories is observed in reality; and the winner of $10 million would elicit the admiration and praise of some fatuous journalist (the very same ones who unconditionally admire the Forbes 500 billionaires). Like almost every executive I have encountered during a 15-year career on Wall Street (the role of such executives in my view being no more than a judge of results delivered in a random manner), the public observes the external signs of wealth without even having a glimpse at the source (we call such source the *generator*). Consider the possibility that the Russian roulette winner would be used as a role model by his family, friends, and neighbors.

While the remaining five histories are not observable, the wise and thoughtful person could easily make a guess as to their attributes. It requires some thoughtfulness and personal courage. In addition, in time, if the roulette-betting fool keeps playing the game, the bad histories will tend to catch up with him. Thus, if a 25-year-old played Russian roulette, say, once a year, there would be a very slim possibility of his surviving his 50th birthday – but, if there are enough players, say thousands of 25-year-old players, we can expect to see a handful of (extremely rich) survivors (and a very large cemetery). Here I have to admit that the example of Russian roulette is more than intellectual to me. I lost a comrade to this "game" during the Lebanese war, when we were in our teens. But there is more. I discovered that I had more than a